

Ontario unveils data-centre playbook with higher power rates and no cash incentives - The Hub

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The Ontario government has unveiled a framework for artificial-intelligence data centres that, if enacted after month of consultations, would require new facilities consuming more than one megawatt to pay higher electricity rates than other large industrial users, while ruling out cash incentives and requiring developers to fund their own infrastructure upgrades. Premier Doug Ford says the rules will keep costs off consumers' bills—but critics say the approach risks chilling investment in a sector the province claims it wants to attract while doing little to resolve municipalities' concerns about noise, water use, and local strain. Ford announced the strategy, which the province calls the Data Centre Playbook, on Thursday in Guelph, Ont., as pressure mounts from local governments confronting a surge of proposed facilities. Oakville this week became the first Ontario municipality to impose a one-year moratorium on new data centres, Mississauga is set to vote on its own pause next month and several other councils, including Toronto's, have pressed Queen's Park for clearer rules on how large projects should be assessed. Under the proposed framework, any new data centre drawing more than one megawatt—a threshold low enough to capture virtually every facility built for artificial intelligence—would face a separate, higher electricity rate than other large industrial customers. The province will push developers to build their own power generation instead of relying on the grid, require them to pay for any infrastructure upgrades their projects trigger, and hold them to environmental standards covering water consumption and noise. Projects will also have to show tangible benefits for the communities that host them, and the government has opened a consultation on the plan. "Any data centre investment will need to invest significantly in local communities and pay more for electricity so no energy costs are passed on to hardworking families," Ford said. He was blunter about the decision to forgo subsidies: "But if any data centre thinks they're coming into Ontario and getting a freebie: not happening." The premier cast the facilities as strategically necessary, pointing to trade tensions with U.S. President Donald Trump and arguing Ontario needs sovereign control of its data, including the driver's licence and health card records stored at a Guelph data centre facility where he spoke. He dismissed the municipal moratoriums as "NIMBYism," saying it is hypocritical for residents to use AI tools while refusing to host the infrastructure behind them, though he added he would prefer to work with willing host communities. The stakes for the grid are considerable. Unlike conventional cloud-computing or storage facilities, AI data centres can draw enormous amounts of electricity around the clock, and Ontario does not have large reserves of spare capacity. The province has seen a sharp increase in requests from data-centre

developers to connect to its grid, while residents backing local moratoriums have demanded transparency about noise, water use, heat and air pollution, as well as the risk that the facilities push up household utility bills. The no-subsidy stance echoes arguments made by Samuel Duncan, a vice president at Wellington Advocacy and previously worked as the executive director of policy to the premier of Ontario, who wrote that governments should enable the infrastructure needed for AI adoption while resisting the urge to subsidize the industry, noting that private capital is already flowing into data centres at enormous scale. Duncan argued the larger risk for Canada lies in failing to translate the technology into productivity gains. “Simply put, if Canada can’t produce more output for a given input, it risks repeating another lost decade of economic stagnation,” he wrote. Ontario’s approach tracks measures adopted elsewhere in the country. In Alberta, the electricity system operator has capped near-term connections for large-load projects at about 1,200 megawatts and told developers outside that queue to bring their own power, according to reporting by Falice Chin, The Hub’s Alberta bureau chief. Chin also reported that Alberta plans a two percent hardware levy on large data centres offset by corporate tax credits, while British Columbia has restricted high-load facilities from connecting to its grid and requires developers to demonstrate clear local economic benefits, including meaningful Indigenous partnership. The Ontario framework remains subject to the consultation the province has launched, and its first political test will come quickly: Mississauga council votes on its proposed data-centre pause next month, with Oakville’s one-year moratorium already in force. Consultation for the proposed AI data-centre playbook ends on Sept. 12. The Ontario government has introduced a Data Centre Playbook requiring new AI data centres consuming over one megawatt to pay higher electricity rates and fund their own infrastructure upgrades, without cash incentives. Premier Doug Ford argues this approach will prevent costs from impacting consumers, but critics warn it may deter investment and fail to address local concerns regarding noise and resource use. The framework aims to ensure that data centres contribute to local communities while managing the province’s electricity grid demands, as municipalities like Oakville impose moratoriums on new facilities amid rising proposals. Ask about this article — or anything in Canadian politics, economics, and public policy — powered by The Hub’s 5,000-article archive and deep area expertise. Comments (2) With exception of Alberta, Canada’s favourite word is No.